

Op-Ed 1

Grey, blue, green...hydrogen?

New Zealand's commitment to ASEAN's green transition is steadfast, through the leveraging of its natural advantages to strengthen strategic partnership with member states.



The Minister of New Zealand strategises engagement with ASEAN member states, China and Vietnam during the ASCOPE conference. Photo: Newsroom

Following the recent debates in the ASCOPE, the Ministers of New Zealand (NZ), China and Vietnam have agreed upon working towards establishing different tiers of development and their corresponding paces of transition to a green economy amongst ASEAN member states.

The question of benefitting from the collaboration for each stakeholder quickly surfaced, to which the Minister of China replied, “We’re willing to supply funding and lend our support to ASEAN (for their transitional goals to a green economy). After all, it would strengthen our prominence in the trade industry for future engagements with other nations.”

Despite the rapid development of discussions regarding the tiered system, the question of accountability still lingers — how are ASEAN states to be held responsible should the respective objectives of each member state fail to be met within the set deadline?

The apparent absence of accountability mechanisms leaves potential gaps for countries to stray away from taking concrete action in, delaying practical development of the sustainability landscape's transition to increased green hydrogen usage.

As of now, NZ's contribution towards the engagement with ASEAN's shift to a green economy points to its expertise in the renewable energy sector.

Over 80% of NZ's electricity is generated from renewable sources, including hydroelectric power and geothermal energy, evidence of its massive capacity in green hydrogen production.¹

With NZ's extensive capability in leveraging green energy forms, our ministers could offer formal guidance to ASEAN member states to facilitate their decision-making processes in the energy sector — aiding them in deploying the most economically and environmentally viable strategies to meet their nations' best interests.²

Newsroom supports this approach of collaboration with ASEAN, especially in view of the increasing global energy volatility. Strategic alignment with ASEAN has become ever more crucial for New Zealand, rendering potential to influence geopolitical stability in the region.

The international demand in ASEAN for New Zealand's distinctive competencies has the potential to reap economic benefits, as shown by commercial relations in the past.

¹ New Zealand's renewable energy supply reaches record high | Ministry of Business, Innovation & Employment. (n.d.). <https://www.mbie.govt.nz/about/news/new-zealands-renewable-energy-supply-reaches-record-high>

² *Renewable energy investment opportunities in new zealand* | *invest New Zealand*. New Zealand Invest. (n.d.). <https://www.nzte.govt.nz/page/renewable-energy>

The ASEAN-Australia-New Zealand Free Trade Area (AANZFTA) eliminated tariffs on 99% of New Zealand's exports to ASEAN.³ Since its implementation, trade between New Zealand and ASEAN has more than doubled.

Taking into consideration the growing international demand, information sharing and technology sharing initiatives present opportunities for NZ's economic growth with the input of private and foreign investment.

Within the domestic policy dimension, New Zealand has scaled back parts of its climate ambition, such as the lowering of its methane target.⁴

Stronger engagement in ASEAN sustainability efforts could serve as a push in the right direction to continue investment in related infrastructure and technology for its climate targets.

Newsroom awaits further deliberations across ministers in the ASCOPE — the Minister of Japan distinguishes his collaborative solutions from the United States (US) from NZ's by tackling the transition to a green economy with a greater involvement in trade.

It appears that both the Minister of NZ and the Minister of Japan are amenable to providing support for the increased usage of green hydrogen in ASEAN economies.

Yet, a consensus regarding the other main interest — carbon emission deadlines based on tiered levels of development or an enhanced trade engagement within the region — has yet to be established.

³ *The ASEAN-australia-new zealand free trade area*. New Zealand Foreign Affairs & Trade. (n.d.). <https://www.mfat.govt.nz/en/trade/free-trade-agreements/free-trade-agreements-in-force/asean-australia-new-zealand-free-trade-agreement-aanzfta/aanzfta-overview>

⁴ *Government lowers methane target, rules out methane taxes* | RNZ News. RNZ. (2025). <https://www.rnz.co.nz/news/political/575686/government-lowers-methane-target-rules-out-methane-taxes>

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